

BALANCE SHEET				
ASSETS		\$000s		
Cash On Hand		6,074		
Accounts Receivable	(see Note 1)	85,583		
Footwear Inventories		6,121		
Total Current Assets		97,778		
Net Investment in Facilities and Equipment		244,710		
Construction Work In Progress	(for new space)	0		
Production Improvement Options On Order		0		
Total Fixed Assets	(see Note 2)	244,710		
Total Assets		342,488		
LIABILITIES		\$000s		
Accounts Payable	(see Note 3)	19,388		
1-Year Bank Loan Payable	(see Note 4)	0		
Current Portion of Long-Term Bank Loans	(see Note 5)	15,900		
Overdraft Loan Payable	(see Note 6)	0		
Total Current Liabilities		35,288		
Long Term Bank Loans Outstanding	(see Note 7)	97,200		
Total Liabilities		132,488		
SHAREHOLDER EQUITY		Beginning Balance	Change in Y10	\$000s
Common Stock	(see Note 8)	20,000	0	20,000
Additional Capital	(see Note 9)	110,000	0	110,000
Retained Earnings	(see Note 10)	60,000	20,000	80,000
Total Shareholder Equity		190,000	20,000	210,000
Return On Average Shareholder Equity (see Note 11)				20.0%

- Note 1: Of the \$342,331 of wholesale and private-label net revenues reported on the Y10 income statement, 75% was collected in Y10 and 25% will be collected in Y11.
- Note 2: For more details on fixed asset investment, see the Facilities and Equipment report (page 1 of these Company Operating Reports).
- Note 3: Of the \$77,552 of materials used for footwear production in Year 10, 75% was paid for in Year 10 and 25% will be paid for in Year 11.
- Note 4: The company's Year 10 interest rate for a 1-year bank loan was 5.0%.
- Note 5: This item represents the principal portion of all outstanding 5-year and 10-year bank loans due to be repaid in the upcoming year (Year 11).
- Note 6: Loans for overdrafts are incurred automatically to prevent a negative year-end cash balance at an interest rate that is 2.0% higher than the company's 1-year loan rate.
- Note 7: Long-term bank loans outstanding:

Loan Number	Initial Year	Original Principal	Interest Rate	Term	Out-standing Principal	Annual Principal Payment	Year11 Interest Payable
1	Y4	60,000	8.2%	10-yr	24,000	6,000	1,968
2	Y9	99,000	7.7%	10-yr	89,100	9,900	6,861
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- Note 8: There are 20,000k shares of stock issued and outstanding at a par value of \$1.00 per share. The authorized maximum number of shares outstanding is 50,000k.
- Note 9: Additional Capital represents the dollar amount over and above par value that shareholders have paid to purchase new shares of common stock.
- Note 10: Retained Earnings is a summation of all after-tax profits the company has earned that have not been distributed to shareholders in the form of dividends.
- Note 11: The formula for Return On Average Shareholder Equity is:
- After-Tax Profit
(Beginning Equity + Ending Equity) ÷ 2

CASH FLOW STATEMENT			
CASH INFLOWS IN YEAR 10		\$000s	
Beginning Cash Balance		(carried over from prior year)	400
Cash	Receipts from Footwear Sales	(see Note 1)	421,433
Inflows	Bank Loans	1-Year Loan	0
		5-Year Loan	0
		10-Year Loan	0
	Stock Issue	(0 shares issued)	0
	Sale of Production Equipment		0
	Interest Income on Y9 Cash Balance	(sobre el saldo de A9)	8
	Loan to Cover Overdraft	(1-year loan @ 9.0%)	0
	Cash Refund	(awarded by instructor)	0
Total Cash Available from All Sources			421,841
CASH OUTLAYS IN YEAR 10		\$000s	
Cash	Payments to Materials Suppliers	(see Note 2)	76,164
Outlays	Production Expenses	(excluding depreciation – see Note 3)	94,218
		Distribution and Warehouse Expenses	84,716
		Marketing and Administrative Expenses	95,944
Capital Outlays	Facility Expansion	(new space)	0
		Equipment Purchases	0
		Production Imp. Options	0
	Energy Efficiency Initiatives	(RSCC)	0
Bank Loan Repayment	1-Year Loan	(see Note 4)	1,500
		5-Year Loans	0
		10-Year Loans	15,900
Interest Payments	Bank Loans		10,182
		Y9 Overdraft Loan	0
	Stock Repurchase	(0 shares repurchased)	0
	Income Tax Payments		17,143
	Dividend Payments to Shareholders		20,000
	Charitable Contributions		0
	Cash Fine	(assessed by instructor)	0
Total Cash Outlays			415,767
Net Cash Balance		(at the end of Year 10)	6,074

- Note 1: This item consists of all internet revenues recorded in Y10, 75% of wholesale and private-label revenues recorded in Y10, and accounts receivable from Y9 sales.
- Note 2: This item consists of 75% of the cost of Y10 production materials and 25% of Y9 production materials costs due to a 3-month lag in payments to materials suppliers.
- Note 3: This item includes all Y10 production-related expenses (adjusted for exchange rate cost impacts) except for depreciation (which is a non-cash accounting charge).
- Note 4: All 1-year loans (including overdraft loans) received in Year 9 were repaid in full in Year 10. Interest on all 1-year loans received in Year 9 was also paid in Year 10.

SELECTED FINANCIAL STATISTICS			
Credit Rating Measures	Interest Coverage Ratio		(oper. profit ÷ interest exp.) 6.62
	Debt to Assets Ratio		(total liabilities ÷ total assets) 0.39
	Default Risk Ratio		(cash flow from ops ÷ principal paymtns) 2.24
	Risk of Default		(see Note 1) Medium
	Credit Rating		(at the end of Year 10) B
Current Ratio		(current assets ÷ current liabilities)	2.77
Operating Profit Margin		(operating profit ÷ net sales revenues)	15.6%
Net Profit Margin		(net profit ÷ net sales revenues)	9.2%
Dividend Payout		(dividends per share ÷ earnings per share)	50.0%
Cash Flow from Operations		(after-tax profit ÷ depreciation)	39,010
Total Principal Payments		(\$000s to be paid in Year 10)	17,400

Note 1: A default risk ratio of 4.00 or higher results in a Low default risk, 2.00 to 4.00 results in a Medium default risk, and below 2.00 results in a High default risk.

Note: Because demand and sales figures are rounded to the nearest 1000 pairs, minor anomalies in the company's financial statements may occasionally occur. Any rounding inconsistencies that do appear will be smaller than ± 50 and will likely average-out over time. Such rounding anomalies have no significant impact on company performance.